

population shifts to it and are you planning to announce the sunset of the old tax regime?

A: I want India's tax system, on the whole, to be simple for compliance reasons, for the rates that are levied on people. Therefore, it's not as if I'm going to sweeten the new regime, but keep the old regime going only in spite. The system has to be simplified and that is why we brought in the new regime. A new income tax code will replace the old one, which has been in operation since 1961 and has had so many additions to it. I am not saying the additions are violative or in contradiction of the original intent, but they have been added as India was going through changes as well. So, the language is being tinkered with at different times, and it has actually become a tome, so bulky. And anyone who has to comply with it has to look at a page here, a page there and so on. What this new Bill is going to do is to simplify it all,

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“You can't keep telling me, but your GDP has to grow... They are all interlinked. I cannot aspire to have a per capita income much better than less populous countries. These are hard realities”

make it just straightforward. There is no interpretative confusion. Courts don't have to spend time interpreting them. The change is being carried out with that intent.

Q: On the employment generation scheme announced last year, the allocation has risen to ₹20,000 crore in this year's Budget. How confident are you that this scheme is going to work? What outcomes will this outlay yield in terms of the new employment generation?

A: A total of five schemes were announced in the July Budget. Between then and February, you are hardly talking about five, six months, and most schemes, inclusive of the internship scheme, have all picked up very well. Now, it's a question of making people aware that this scheme is running. People can happily come and enroll. It is rolling on and we need to have more awareness.

Q: Why couldn't the government spend the entire amount allocated for capex?

A: [Capex] continues. Our capex numbers have not come down. As much as ₹11.11 lakh crore from the Budget Estimates in FY25 has gone up to ₹11.21 lakh crore. Actual spending is lesser [because] it was an election year. The entire first quarter and I would even say a part of second quarter [was taken up]...For an amount like that to be spent between Centre and states does take time. We'll probably catch up with a better number in the fourth quarter before March 31. But the reason is obvious and is there for all of us to see, that the elections did slow down capital expenditure. However, we have not cut it down. On the contrary, it's 10% more than the Revised Estimates.

Q: On saturation, is there a question on the absorptive capacity of the Indian economy to deal with the capex outlay? And there are concerns about India Inc. not doing enough to invest back in the India story, despite your significant reductions in corporate taxes.

A: Which are those big ministries that have huge capex? We have not reduced anything. In fact, on the contrary, we have increased their allocation. Railways, roadways, defence, and home, they are all creating assets and they are big spenders. Home, because you see the vibrant villages in the border, border roads. Defence has its own asset building. Railways and roadways have not even exhausted 50% of all their large plans. So, this narrative that there isn't enough absorption capacity is completely wrong. There's enough and more work to do on capex, at least in these four ministries, and they're big spenders. But if you're talking about the private sector, in our engagement we've also highlighted the fact that many of them are probably sitting with passive investments, earning interest out of it. They can always look at newer capacity building, but they are making a commercial decision as to when the market would be ready for their additional investment. After a point, I cannot speak to them about it.

Q: How critical is the global impetus for India's growth?

A: That's something that we will have to watch. You can't speculate on it even though you're watching it. But, at this time, I would prepare myself for two things. One, the fallout of [tariff] actions already announced on China or Canada or Mexico, although some of them, like the one on Mexico, have been deferred by a month. We'll have to see how that is going